

India Macro Outlook 2025-2026

Deutsche Bank Research | Economics | May 2025

EXECUTIVE SUMMARY

India remains the fastest-growing major economy globally with GDP growth of 7.2% in FY25. We maintain our FY26 GDP growth forecast at 6.8%, supported by infrastructure investment, consumption recovery, and services export growth.

MACROECONOMIC INDICATORS

GDP Growth

- FY25 GDP growth: 7.2% (above consensus of 6.8%)
- FY26 forecast: 6.8% (domestic consumption recovery key driver)
- Manufacturing PMI at 58.4, highest in 15 years
- Services PMI at 61.2, led by IT and financial services

Inflation

- CPI inflation at 4.1%, within RBI target band of 2-6%
- Food inflation moderating to 3.8% after vegetable price normalization
- Core inflation at 3.4%, lowest since 2019
- RBI rate cuts of 50-75 bps expected in H2 FY26

Currency

- INR at 83.5/USD, managed depreciation of 2-3% expected
- CAD at 1.2% of GDP, comfortable financing from FPI and FDI inflows
- Forex reserves at \$650B, 11 months of import cover

Fiscal Position

- Fiscal deficit at 5.1% of GDP, on consolidation path
- Government capex at Rs 11.1 lakh crore, highest ever
- Tax revenue buoyancy at 1.3x, GST collections at record Rs 1.87 lakh crore

INVESTMENT IMPLICATIONS

Equity Market Outlook

- Nifty 50 target: 26,500 (12-month), implying 12% upside

- Small and midcap valuations stretched, prefer largecaps
- FPI flows expected at \$20-25B in FY26

Fixed Income

- 10-year G-Sec yield target: 6.50% by March 2026
- Duration play attractive as rate cuts materialize
- Corporate bonds offering 75-100 bps spread, selective opportunities

Sector Preferences

- OVERWEIGHT: Financials, Infrastructure, Consumer Discretionary
- EQUAL WEIGHT: IT, Healthcare, Energy
- UNDERWEIGHT: Metals, Telecom, Utilities

RISKS

- Global recession risk: 25% probability, would cut growth to 5.5%
- Oil price spike above \$100/bbl would widen CAD and pressure INR
- El Nino impact on agriculture and rural consumption
- US Fed policy: Higher-for-longer would pressure capital flows

CONCLUSION

India structural growth story intact. Near-term volatility from global factors provides accumulation opportunity. Maintain overweight on Indian equities vs EM peers. Prefer quality largecaps with domestic consumption exposure.